BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

Consolidated Edison Company Of New York, Inc.

Cases 25-E-0072 and 25-G-0073

May 2025

Prepared Testimony of:

Staff Site Investigation and
Remediation Panel

Krysta Aadahl
Utility Analyst 1
Office of Renewable Energy
Siting and Electric Transmission

Chris Logan
Auditor 2
Office of Accounting Audits &
Finance

State of New York
Department of Public Service
Three Empire State Plaza
Albany, New York 12223-1350

INTRODUCTION

Q. Members of the Site Investigation and Remediation Panel (SIR Panel or Panel), please state your names, employer, and business address.

A. Our names are Krysta Aadahl and Chris Logan. We are employed by the New York State Department of Public Service (Department). Our business address is Three Empire State Plaza, Albany, New York 12223.

Q. Krysta Aadahl, what is your position at the Department?

A. I am employed as a Utility Analyst 1 in the Transmission Siting Section of the Office of Renewable Energy Siting and Electric Transmission.

Q. Please briefly describe your educational background and professional experience.

A. I graduated from the State University of New York at New Paltz in 2017 with a Bachelor of Science degree in Geology. Prior to joining the Department in 2022, I was employed by the New York State Department of Environmental Conservation (DEC) first as a Solid Waste

Geology intern, then as an Environmental Engineering Technician. I was also previously employed as a Field Technician with a full-service environmental remediation company that offered consulting, drilling, and remediation services. I have experience with field sampling of various media, site inspections, soil logging, vapor testing, soil analysis, aquifer pumping tests, and other aspects of geologic fieldwork.

Q. Please describe your responsibilities at the Department.

A. My primary responsibilities include evaluating environmental resources, community impacts, and construction feasibility issues for electric transmission facilities under Article VII of the Public Service Law (PSL) and 16 NYCRR Part 102. I am also responsible for enforcing companies' compliance with electric transmission and renewable energy generation project requirements under Articles VII, VIII, and 10 of the PSL. I also provide recommendations regarding SIR matters for cases before the Commission.

Q. Have you testified in previous Commission

proceedings?

A. Yes. I testified as part of Staff's SIR Panel in the rate proceedings of the Consolidated Edison Company of New York, Inc. (Con Edison or the Company), in Cases 22-E-0064, 22-G-0065, and 22-S-0659; KeySpan Gas East Corporation d/b/a National Grid (KEDLI), The Brooklyn Union Gas Company d/b/a National Grid NY (KEDNY) in Cases 23-G-0225 and 23-G-0226; National Fuel Gas Distribution Corporation in Case 23-G-0627; Central Hudson Gas & Electric Corporation in Cases 23-E-0418 and 23-G-0419; New York State Electric & Gas Corporation, Rochester Gas and Electric Corporation in Cases 22-E-0317, 22-G-0318, 22-E-0319, and 22-G-0320; and Niagara Mohawk Power Corporation d/b/a National Grid in Cases 24-E-0322 and 24-G-0323 (National Grid).

Q. Chris Logan, have you discussed your credentials in another testimony submitted in these proceedings?

A. Yes. My credentials are provided in the testimony of the Staff Accounting Panel.

Q. Please summarize the Panel's understanding of the Commission's Order Concerning Costs for Site

Investigation and Remediation, issued November 28, 2012 in Case 11-M-0034 (SIR Order).

A. In that proceeding, the Commission considered adopting a generic policy with respect to the sharing of SIR costs between ratepayers and shareholders. In the SIR Order, the Commission concluded that a generic cost-sharing requirement should not be applied but noted that cost-sharing should be considered in future rate cases if it is determined that a utility is not exerting appropriate efforts to control SIR costs. The SIR Order directed the major electric and gas utilities to collaborate and file jointly with the Commission an Inventory of Best Practices for utility SIR programs (Inventory of Best Practices). In addition, the SIR Order required that, in any future rate filing in which a utility seeks to recover SIR expenses, the utility must provide testimony discussing its SIR cost control efforts and include an attestation to the utility's compliance with the Inventory of Best Practices. Further, pursuant to the SIR Order, the utility is required to provide testimony establishing

that its remediation process complies with existing timetables and DEC requirements; explaining the results of any internal process the utility may have conducted to review its SIR procedures; and describing how internal controls are employed for SIR projects.

Q. Provide a brief overview of this panel's testimony.

A. Our testimony addresses Con Edison's SIR program. Specifically, the Panel: 1) provides a brief overview of utility SIR programs in New York State, discussing regulatory oversight and what program costs include; 2) discusses the Company's SIR program and the types of sites that the Company is responsible for; 3) discusses Staff's findings regarding the Company's SIR program in these proceedings, including its compliance with the Inventory of Best Practices, compliance with regulatory agencies, and how the Company's SIR Panel developed its Rate Year (RY) request; and 4) discuss our recommended adjustments to the Company's rate allowance request for SIR in the Rate Year. Additionally, we note that the

initial testimony of the Company SIR panel contains an error on page 39, regarding the estimated costs for the Linking Period and the Rate Year for former manufactured gas plant (MGP) sites. Therefore, this panel relied on the Exhibit__(EHS-2) provided by the Company SIR panel for these amounts.

Q. In this testimony, will the Panel refer to, or otherwise rely upon, information produced during the discovery phase of these proceedings?

A. Yes. The Panel refers to, and relies upon, several responses to Information Requests (IR), which are included in Exhibit___(SSIRP-1).

Q. Is the Panel sponsoring any other exhibits?

A. Yes. Exhibit___(SSIRP-2) contains an overview of the Company's forecast and actual spending covering calendar years 2022 through 2024. Exhibit___(SSIRP-3) contains our adjustment to the electric and gas SIR deferral balances included in rate base as discussed below. Exhibit___(SSIRP-3) also shows an adjustment to the Rate Year amortization.

UTILITY SIR PROGRAMS

Q. Briefly describe the regulation and oversight of

SIR Programs in New York State.

A. SIR Programs are primarily overseen by DEC, in accordance with 6 NYCRR Part 375. The United States Environmental Protection Agency (EPA) regulates and oversees the federal Superfund sites. Under orders or agreements with utilities, DEC regulates the cleanup of MGP sites and other remediation sites within New York State. DEC also works with the New York State Department of Health (DOH) on portions of the SIR process as it relates to health assessments.

Q. What costs are included in utility SIR programs?

A. The costs of utility SIR programs primarily relate to the assessment, monitoring, remediation, and restoration of sites containing environmental contamination for which a company has been found to be wholly or partially responsible pursuant to the Federal Comprehensive Environmental Response, Compensation and Liability Act of 1980 (Superfund) and a company's consent orders and agreements with DEC.

THE COMPANY'S SIR PROGRAM OVERVIEW

Q. Describe the types of sites that the Company manages.

A. As described on page 7 of the initial testimony of the Company SIR panel, there are five general categories of sites that the Company manages: former MGPs; Superfund sites; Appendix B sites; underground storage tank (UST) sites; and "other" sites. In addition to these five categories, the Company also manages its Astoria site, which is considered separately due to its complex history.

Q. Describe the Company's MGP sites.

A. As described starting on page 24 of the initial testimony of the Company SIR panel, the Company has obligations associated with the cleanup of environmental contamination resulting from the operation of MGPs, which were formerly owned or operated by the Company or its predecessors, as well as areas to which contamination from those sites may have migrated. As shown in Exhibit___(EHS-2) of the initial testimony of the Company SIR panel, the Company expects to spend funds on 34 MGP sites during the Rate Year, totaling $37.697 million.

Q. Please describe the Company's Superfund sites.

A. As described starting on page 39 of the initial testimony of the Company SIR panel, the origin of Company's obligations associated with Superfund sites are found in one of three situations: 1) the Company was found to be partially liable for the contamination of a third-party site; 2) the Company was implicated in the contamination of a site that was formerly owned by the Company or its predecessor companies; or 3) the Company has otherwise been found responsible for contamination at a site. As shown in Exhibit___(EHS-2) of the initial testimony of the Company SIR panel, nine Superfund sites are expected to experience spending in the Rate Year totaling $4.346 million. Additionally, there are two situations worth mentioning regarding Superfund sites. As described on page 46 of the initial testimony of the Company SIR panel, KEDNY filed a complaint against Con Edison and 39 other entities, asserting claims for costs incurred, and to be incurred, by KEDNY regarding the Gowanus Canal Superfund site. Further, one Superfund site was

added to the Company's SIR program. As discussed on page 55 of the initial testimony of the Company SIR panel, the Company is investigating its alleged connection to the Berry's Creek Study Area site in Bergen County, New Jersey. Specifically, the Company is investigating whether it may have previously sent waste oil to a disposal facility that allegedly mismanaged its wastes, contributing to contamination of Berry's Creek.

Q. Describe the Company's Astoria site.

A. Con Edison owns and operates a large facility in Astoria, Queens, which serves as an electric generation facility, center of operations, storage yard, hazardous waste management facility, and has other various uses for the Company. As witnessed by Staff during a site visit on March 28, 2025, this Astoria facility contains multiple distinct and unique areas of contamination, all of which are collectively considered under the title, "Astoria site". The Company projects to spend $2.365 million in the Rate Year on the Astoria site.

Q. Panel, what are the Company's Appendix B sites?

A. As discussed on page 5 of the initial testimony of the Company SIR panel, sites contaminated by historical fuel and dielectric oil spills are covered under the requirements of Appendix B of the November 1994 Consent Order between the Company and DEC. Seven Appendix B sites are expected to experience spending in the Rate Year totaling, according to Exhibit___(EHS-2) of the initial testimony of the Company SIR panel, $0.765 million.

Q. Please describe the Company's UST sites.

A. Two UST sites remain active in the Company's SIR program, one of which is expected to experience spending in the Rate Year of $0.300 million, as shown in Exhibit___(EHS-2) of the Company's SIR panel.

Q. Describe the Company's "Other" sites.

A. The Company's "Other" sites category encompasses all contaminated sites that do not fall into any of the aforementioned categories. As described starting on page 67 of the initial testimony of the Company SIR panel, these sites include former substations, dielectric fluid spill sites which are not included in the Appendix B

program, and one mercury spill at a Company-owned property. As shown in Exhibit___(EHS-2) of the initial testimony of the Company SIR panel, the Company expects to spend funds at five sites in this category during the rate year totaling $2.410 million.

THE COMPANY'S SIR PROGRAM IMPLEMENTATION

Q. Please discuss the Company's compliance with the Inventory of Best Practices.

A. Throughout its initial testimony, the Company SIR panel demonstrates how it adheres to the requirements of the Inventory of Best Practices. This was further detailed in the Company's response to DPS-321.

Q. How does the Company comply with the items in the Inventory of Best Practices that are related to contract management?

A. Items 2 through 6 of the Inventory of Best Practices cover various aspects of contract management. According to page 132 of the initial testimony of the Company SIR panel, the Company selects and approves contractors based on experience, consistent with item 2 of the Inventory of Best Practices. Page 89 of the

initial testimony of the Company SIR panel states that Con Edison competitively bids all remediation projects, satisfying item 3 of the Inventory of Best Practices. The Company's supplemental response to DPS-321, which discusses how "[b]idders for remedial construction contracts are provided multiple opportunities to understand the scope of work during the procurement process", addresses item 4 of the Inventory of Best Practices. As first mentioned on page 89 of the initial testimony of the Company SIR panel, the Company performs bid check estimates to assess whether the bid is reasonable, consistent with item 5 of the Inventory of Best Practices. Finally, page 147 of the initial testimony of the Company SIR panel discusses the Company's change order and invoice review process, satisfying item 6 of the Inventory of Best Practices.

Q. How does the Company comply with the items in the Inventory of Best Practices that are related to waste management?

A. Items 8 and 12 of the Inventory of Best Practices pertain to waste management. Page 100

of the initial testimony of the Company SIR panel demonstrates that the Company's approval and audit process for waste facilities satisfies both items 8 and 12. Any waste facility proposed to be used by the Company must go through an approval process, and approved facilities are occasionally re-evaluated.

Q. What is the status of insurance reimbursements to the Company for SIR related costs?

A. Item 16 of the Inventory of Best Practices covers insurance reimbursement, which is discussed on page 21 of the initial testimony of the Company SIR panel. Through the liquidation of the Home Insurance Company, the Company was awarded $6.840 million in 2014, of which it has received $3.078 million as of 2025. As explained on page 22 of the initial testimony of the Company SIR panel, because future recoveries will be dictated by the liquidator, it is currently undetermined whether the Company will receive further payments related to The Home Insurance Company. The Company has, therefore, demonstrated its compliance with item 16 of the Inventory of Best Practices.

Q. Panel, do the Company's sites in the SIR program comply with New York State and federal regulatory agencies?

A. As stated in the Company's response to DPS-321, the Company has not received any noncompliance determination or violation for any site in its SIR program. We also reviewed the most recent audit of the Company's SIR program, conducted in August 2024, which did not identify any concerns. The issues investigated by the audit include contractor procurement, employee safety, work area protection, vehicle and equipment maintenance, accurate financial accounting, and alignment with regulations.

Q. Has the Company sufficiently demonstrated compliance with the Inventory of Best Practices?

A. Yes. The information provided in the initial testimony of the Company's SIR Panel, as along with the Company's response toDPS-321, adequately demonstrate compliance with the Inventory of Best Practices.

THE COMPANY'S SIR PROGRAM COSTS

Q. Which sites are the largest cost drivers for the Company's SIR program in the Rate Year?

A. Page 11 of the initial testimony of the Company SIR panel states, "approximately 90% of the projected SIR costs for the Rate Year are attributable to 9 sites." In order of high to low forecast costs, and as shown in Exhibit___(EHS-2) of the initial testimony of the Company SIR panel, the Farrington Street MGP site is forecast to require $19 million in expenditures in the Rate Year, the Hunts Point MGP site is forecast at $5 million, the East 11th Street Works MGP site is forecast at $3.67 million, the Gowanus Canal Superfund site is forecast at $3.7 million, the Ossining Works MGP site is forecast at $3.55 million, the Zerega Avenue Station MGP site is forecast at $2.8 million, the Astoria site is forecast at $2.365 million, the Pelham Works MGP site is forecasted at $1.7 million, and the 24 Market Street, Ossining former substation "Other" site is forecast at $1.4 million.

Q. What are the Company's total forecasted SIR program costs during the Rate Year?

A. As shown in Exhibit___(EHS-2) of the initial testimony of the Company SIR panel, the total

forecasted spending for the SIR program in the Rate Year is $47.883 million for electric, gas, and steam combined.

Q. How did the Company SIR panel determine its projected expenditures in the Rate Year?

A. Page 13 of the initial testimony of the Company SIR panel states that its projections are based on forecasted spending levels expected during the Rate Year.

PANEL's RECOMMENDED ADJUSTMENTS

Q. Does the Company's SIR program typically spend the amount forecasted?

A. No. As shown in Exhibit___(SSIRP-2), the Company typically underspends by tens of millions of dollars each year. In 2022, the Company underspent by: $19.827 million, or 50 percent of the forecast amount; in 2023, the Company underspent by $26.199 million, or 69 percent of the forecast amount; and in 2024, the Company underspent by $14.430 million, or 82 percent of the forecast amount.

Q. Has the Company described the reasons for these underspends?

A. The Company provides an explanation in its SIR

annual reports, filed under Case 11-M-0034, for any sites that experienced significant deviations between forecast and actual spending. The Company also expanded upon underspending in its response to IR DPS-409. The reasons for the underspending at various sites from 2022 through 2024 are varied. Some examples include the following. The Astoria site experienced an underspend of $9.571 million in 2022 due to not having received approval from the EPA. The Pemart Avenue Works site experienced an underspend of $2.737 million in 2022 due to unexpected bald eagle protection that was required at the site. The Zerega Avenue Station site experienced an underspend of $2.598 million in 2023 because the Company was unable to negotiate access with the party who is leasing the property. The Astoria site experienced an underspend of $2.203 million in 2023 after delays associated with NYSDEC approval. The entirety of the "Other sites" category experienced an underspend of $1.556 million in 2022 and $1.583 million in 2023 due to "retirements, employee departures, and employees

moving to new roles within the Company," as explained in the Company's response to IR DPS-409. The East 11th Street Works site experienced a $1.214 million underspend in 2023 because the New York City Housing Authority did not bill the Company in a timely manner. The Hunts Point MGP site experienced an underspend of $0.797 million in 2022 because the remediation responsibilities for the site were in the process of being transferred to the New York City Economic Development Council via the Brownfield Cleanup Program.

Q. Does the Panel believe that the Company should have been able to anticipate these factors?

A. No. Many utility SIR programs in New York State experience unforeseeable setbacks, despite their best efforts at forecasting costs. These issues are exacerbated in highly populated areas, and Con Edison's service territory is one of the most highly populated in the United States.

Q. What are the Panel's recommendations regarding the historical underspending?

A. We recommend that this historical underspending should be incorporated into the Company's RY

forecasts as a contingency consideration. This approach is consistent with Staff's recommendations in similar cases including with Con Edison in Cases 22-E-0064 and 22-G-0065and KEDNY/KEDLI in Cases 23-G-0225 and 23-G-0226. For that reason, we recommend an adjustment to the Company's projected Rate Year spendings.

Q. Please quantify the Panel's adjustment.

A. The Panel adjusted the Company's electric and gas Rate Year SIR deferral balances by reducing the Company's forecasted expenditures in the Rate Year by a 57 percent underspend ratio.

Q. How did the Panel calculate a 57 percent underspend ratio?

A. The Panel used the Company's three-year average underspending on all projects from Calendar Years 2022 through 2024. The resulting three-year average equates to 67 percent. The Panel then reduced the three-year average by 10 percent contingency imputation to provide the Company with more budget flexibility, if needed. This 10 percent was set forth in the SIR Reporting Template in Case 11-M-0034. The SIR Order directed Department Staff to develop a

template for the utilities' annual filing of SIR Reports within 90 days of the date of issuance of the Order. The template requires the utilities' annual reports to "Explain and justify all material deviations (10% or $100,000, whichever is greater) from prior cost forecasts for the reporting period for each project."

Q. What is the Panel's recommended RY SIR amortization for electric and gas that reflects the Panel's adjustment to the Company's projected RY spendings?

A. The Panel recommends a SIR Rate Year amortization of $13.854 million and $0.917 million for electric and gas, respectively.

Q. Does this conclude the Panel's testimony at this time?

A. Yes.